

China Semiconductors

Hygon Information Technology Co Ltd

Rating

Outperform

Price Target

688041.CH

450.00 CNY



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Hygon 2Q26: Top line beat but GPM under pressure

Hygon [reported](#) its 2Q26 results on Aug 19th, 2026. Top line was strong, with 65.3% YoY & 25.6% QoQ ([Exhibit 1](#)), exceeding both our and consensus' FY26 growth. Gross margin landed on 55% which missed our estimates. Net profit attributed to equity owners was 1,111mn, YoY+60%. We think the strong growth is due to the continued strong demand on CPU in Agentic AI era, and the ramping up of the AI chip (DCU) supply. We think the market should react positively. **Maintain Outperform.**

1H26 revenue growth materially exceeded full-year expectations by Bernstein and consensus ([Exhibit 2](#)). 1H26 revenue increased 66.5% YoY to RMB 9.1Bn, ahead of Bernstein's and consensus' FY26 growth forecasts of 63% and 56%, respectively. Hygon's CPU business directly benefited from rising server CPU demand driven by agentic AI workloads, while its DCU business continued to scale rapidly with increasing local supply on advanced logic.

GPM weaker than expected with higher COGS ([Exhibit 4](#)). 1H26 GPM declined 4.9ppt YoY to 55.2%, we believe this could be due to higher foundry and memory costs as COGS were up 87.2%, faster than revenue. GAAP attributable net income in 1H26 grew 49.7% YoY, below revenue growth, primarily resulting from SBC increasing to RMB 634Mn from RMB 52Mn. Excluding SBC, attributable net income increased 82.3% YoY to RMB2.27Bn, demonstrating underlying operating leverage despite the gross margin headwind.

Operating cash flow falling to negative RMB 428Mn from positive RMB 2.18Bn in 1H25. The deterioration largely reflected a tighter upstream supply environment and Hygon's decision to secure supply: prepayment to suppliers increased RMB 1.89Bn and inventory rose RMB 1.11Bn from end-2025. Meanwhile, contract liabilities fell by RMB 2Bn, as the company delivered products against previously received customer advance prepayment, reversing an important source of cash inflow.

Close Date	19 Aug 2026
688041.CH Close Price (CNY)	259.74
Price Target (CNY)	450.00
Upside/(Downside)	73%
52-Week Range	395.17/146.77
ASIAx	1,957.80
FYE	Dec
Div Yield	0.1%
Market Cap (CNY) (M)	603,724
EV (CNY) (M)	601,959
Performance	YTD 1M 6M 12M
Absolute (%)	15.7 (14.8) 0.3 74.6
ASIAx (%)	19.7 5.0 9.5 30.9
Relative (%)	(4.0) (19.8) (9.3) 43.7

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	25A	26E	27E
688041.CH (CNY)	1.10	2.04	3.59	Revenues (M)	14,377	23,477	39,667	66.1%	EV/GP (x)	72.4	42.0	24.6
				Gross Margin (%)	57.8	61.1	61.6	--	Reported P/E (x)	236.1	127.1	72.3
				Net Income Margin (%)	17.7	20.2	21.0	--	PEG Reported (x)	7.3	1.5	1.0

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

First Published: 19 Aug 2026 14:22 UTC Completion Date: 19 Aug 2026 14:22 UTC

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EXHIBIT 1: Hygon (688041.CH) Quarterly Results Review and Annual Forecast

	2Q26	1Q26	2Q25			2026E	2026E	Bern.	Consensus
(RMB mn)	Actual	Actual	Actual	QoQ	YoY	Bernstein	Consensus	YoY	YoY
Revenue	5,065	4,034	3,064	25.6%	65.3%	23,457	22,484	63%	56%
Gross Profit	2,781	2,243	1,818	24.0%	53.0%	13,819	13,025	66%	57%
GPM	54.9%	55.6%	59.3%	-71bps	-443bps	58.9%	57.9%	108bps	10bps
Operating Profit	1,192	970	909	22.8%	31.1%	6,415	6,167	78%	71%
OPM	23.5%	24.1%	29.7%	-52bps	-615bps	27.3%	27.4%	227bps	235bps
Net Income	1,111	687	696	61.7%	59.8%	4,612	4,624	81%	82%
NPM	21.9%	17.0%	22.7%	491bps	-76bps	19.7%	20.6%	196bps	286bps
EPS (RMB)	0.48	0.30	0.30	60.0%	60.0%	2.04	1.98	85%	80%

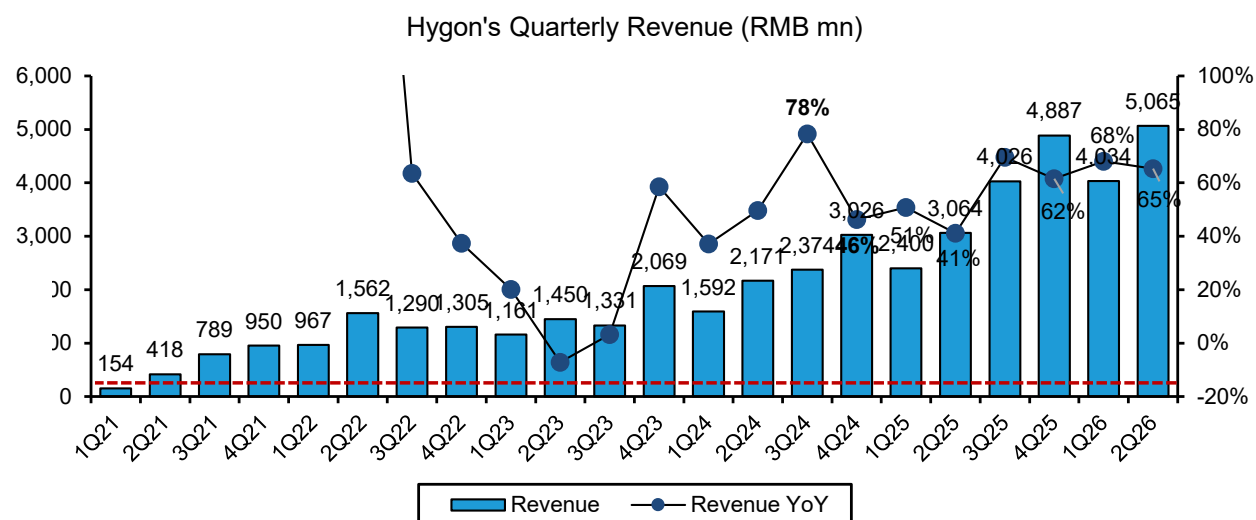
Source: Bloomberg, Company reports, Bernstein analysis and estimates

EXHIBIT 2: Hygon 1H26 results review and annual forecast comparison

	1H26	2H25	1H25			2026E	2026E	Bern.	Consensus
(RMB mn)	Actual	Actual	Actual	HoH	YoY	Bernstein	Consensus	YoY	YoY
Revenue	9,099	8,913	5,464	2.1%	66.5%	23,457	22,484	63%	56%
Gross Profit	5,023	5,027	3,287	-0.1%	52.8%	13,819	13,025	66%	57%
GPM	55.2%	56.4%	60.1%	-120bps	-494bps	58.9%	57.9%	108bps	10bps
Operating Profit	2,162	1,966	1,639	10.0%	31.9%	6,415	6,167	78%	71%
OPM	23.8%	22.1%	30.0%	171bps	-624bps	27.3%	27.4%	227bps	235bps
Net Income	1,798	1,343	1,201	33.9%	49.7%	4,612	4,624	81%	82%
NPM	19.8%	15.1%	22.0%	469bps	-222bps	19.7%	20.6%	196bps	286bps
EPS (RMB)	0.78	0.58	0.52	34.5%	50.0%	2.04	1.98	85%	80%

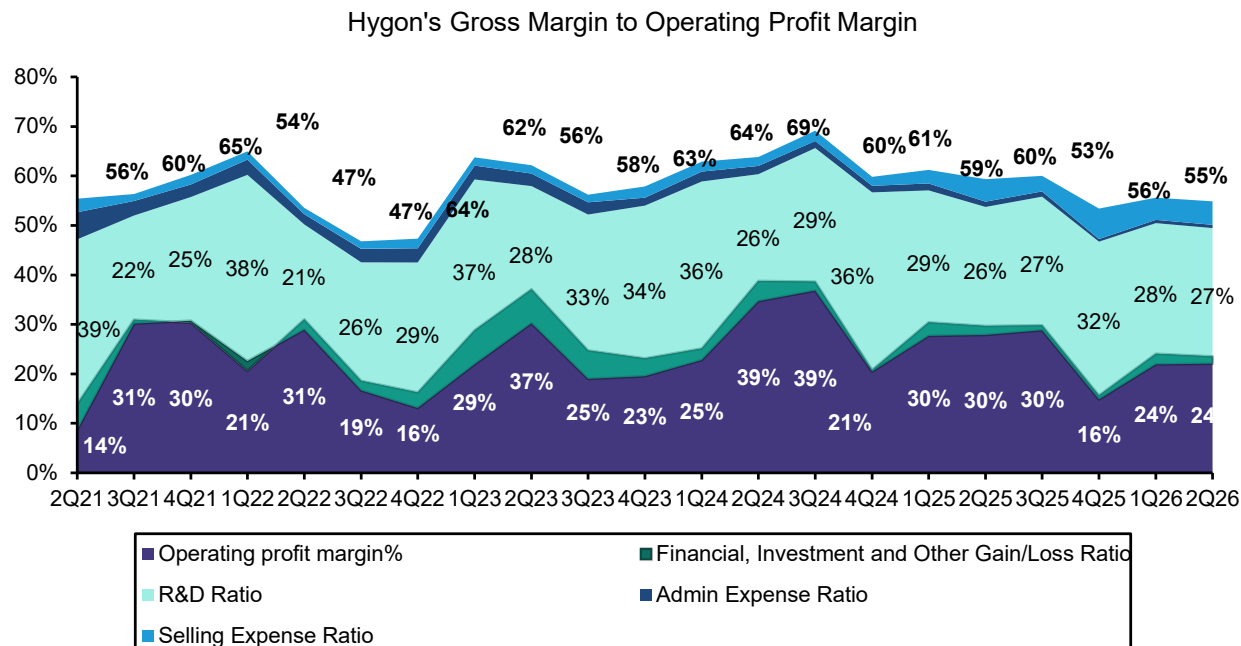
Source: Bloomberg, company reports, Bernstein analysis and estimates

EXHIBIT 3: Hygon's 2Q26 revenue reached RMB 5,065mn, YoY+65%



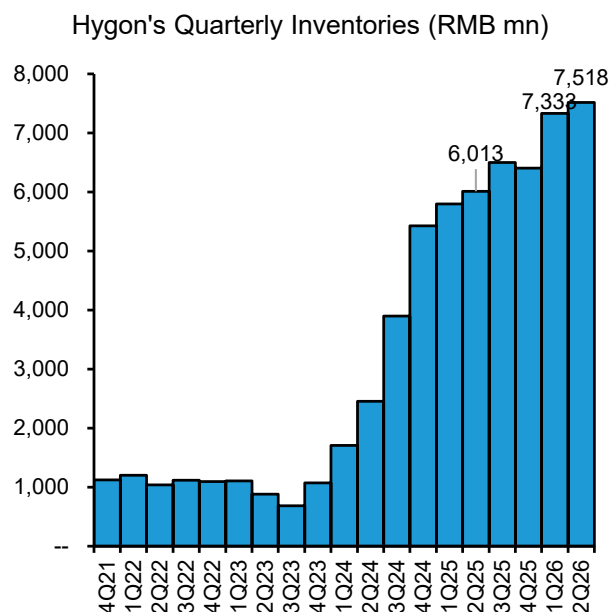
Source: Company reports, Bernstein analysis

EXHIBIT 4: Hygon's gross margin to operating profit margin



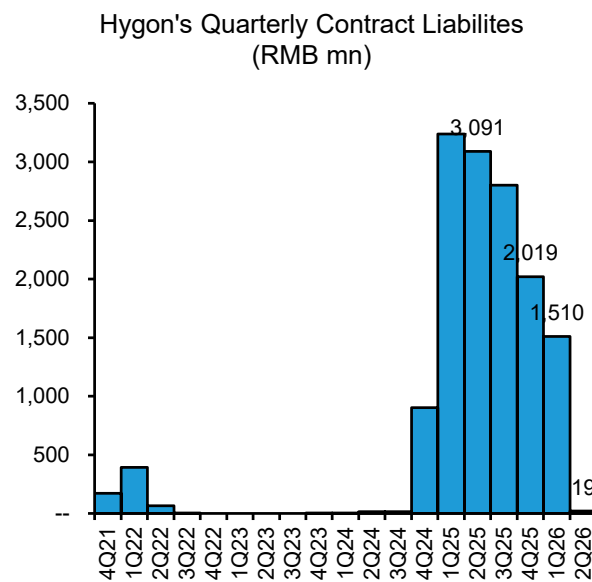
Source: Company reports, Bernstein analysis

EXHIBIT 5: Hygon's quarterly revenue



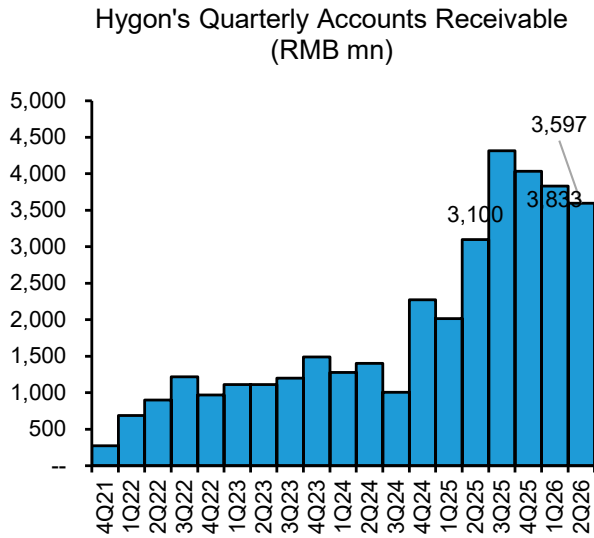
Source: Company reports, Bernstein analysis

EXHIBIT 6: Hygon's quarterly contract liabilities



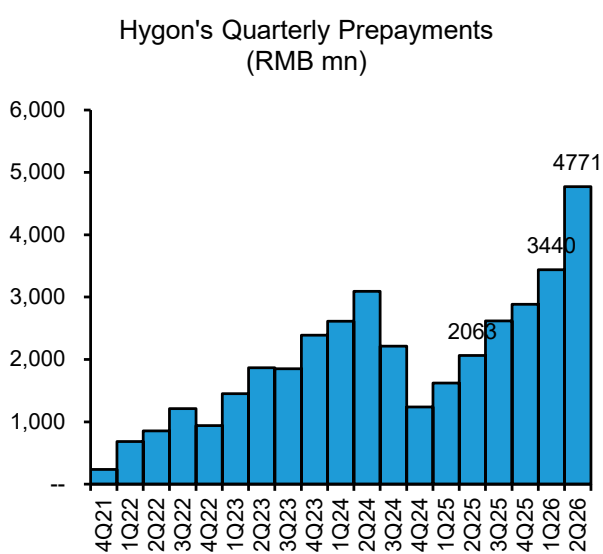
Source: Company reports, Bernstein analysis

EXHIBIT 7: Hygon's quarterly accounts receivables



Source: Company reports, Bernstein analysis

EXHIBIT 8: Hygon's quarterly prepayment



Source: Company reports, Bernstein analysis

INVESTMENT IMPLICATIONS

Hygon is the leading domestic x86 server CPU provider, which builds its technology stack on top of the AMD license, benefiting from x86 server CPU domestic substitution. Hygon's AI accelerator could be another growth engine, although its technology still lags behind leading players like Huawei (private) and Cambricon, we believe Hygon's AI chips (DCU or Deep Computing Unit, Gen-2 launched in 3Q23) could receive substantial government orders through CPU bundling, providing another growth upside. Outperform, PT CNY 450.

BERNSTEIN TICKER TABLE

			19 Aug 2026		TTM	Reported EPS				Reported P/E (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
688041.CH (Hygon)	O	CNY	259.74	450.00	43.7%	CNY	1.10	2.04	3.59	236.1	127.1	72.3
ASIA			1,957.80									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Hygon Information Technology Co Ltd**

We value Hygon (PT of CNY 450), based on 2028E EPS of CNY 6.30 and 71x P/E.

RISKS**Hygon Information Technology Co Ltd**

Downside risks:

- Failure to develop future generation of server CPU products or keep up with the technology iteration with Intel/AMD.
- Supply chain risks associated with AMD technology authorization and advanced node foundry capacity due to Hygon being added to the US BIS' Entity List.
- The risks associated with slowing down of China's Xinchuang server deployment in coming years, due to a weaker than expected China macroeconomics.
- Given Hygon is on the Entity List, the US and its Western allies may continue to impose increasingly stringent sanctions on the company.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Outperform: Stock will outpace the market index by more than 15 pp
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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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- **Underperform (UP):** Stock will trail the performance of the relevant index by more than 10 pp

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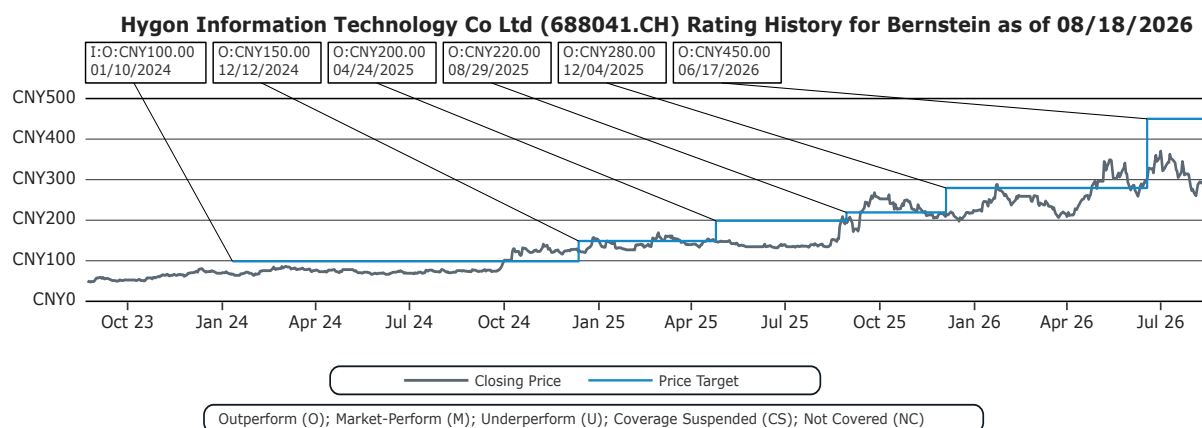
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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